The demand for a banking system on organized lines had been voiced in 1890 at the first Industrial Conference which noted the contrast presented by unused capital in the vaults of the Presidency Banks and other exchange banks and 'the poverty of resources of the classes engaged in the production of wealth.'[3] It observed that there appeared to be an impenetrable barrier preventing the flow of wealth between 'the reservoirs of capital and the parched fields of industry dried up for want of the wealth-bearing and fertilizing moisture.'[4] In 1914, the Royal Commission on Indian Finance and Currency urged the appointment of a committee to study certain questions connected with banking. In 1919, Sir B.N. Sarma moved a resolution in the Imperial Legislative Council urging the appointment of a banking committee. In 1924, the External Capital Committee observed that India possessed vast stores of dormant capital awaiting development and in order to utilize this capital it was essential to extend and increase banking facilities in India.

The importance of a central bank was emphasized by the International Financial Conference at its meeting in Brussels in 1920. It recommended that 'in nations where there is no Central Bank of issue, one should be established.' The second Resolution of Currency of the International Economic Conference at Genoa in 1922 while emphasizing the need for a central bank also recommended that banks, and specifically banks of issue, should be free from political influence. As we have seen, the idea of a central bank separate from the Imperial Bank was born out of the recommendation of the Hilton Young Commission. Though the need for a central bank had not been one of its terms of reference, the Hilton Young Commission recommended the setting up of a central bank to be called the Reserve Bank of India to which all central banking functions were to be entrusted.

## THE INDIAN CENTRAL BANKING ENQUIRY COMMITTEE

The government was aware that a survey of banking was necessary and was considering the mechanics of a comprehensive study when the Hilton Young Commission submitted its report in 1926. After examining the report the government concluded that it would be preferable to postpone enquiry into the field of Indian banking till the RBI was established. But in 1928 the